Euro Area: Rates Strategy

Close but no cigar

Even as a deal in the Gulf conflict remains elusive, EUR rates continue to drift with hope. We augment our recent analysis on interest rate risk on euro area banking books. We also decompose changes in 10y EUR rates and find, much like in 2022, inflation risk premium repricing has played a key role.

Rohan Khanna
+44 (0) 20 7773 0533
rohan.khanna1@barclays.com
Barclays, UK

Max Kitson
+44 (0) 20 3134 1456
max.kitson@barclays.com
Barclays, UK

Alessandro Di Spirito
+44 (0) 20 3555 0515
alessandro.dispirito@barclays.com
Barclays, UK

Pratham Hukmat Kingar
+91 (0) 22 6175 2018
prathamhukmat.kingar@barclays.com
Barclays, UK

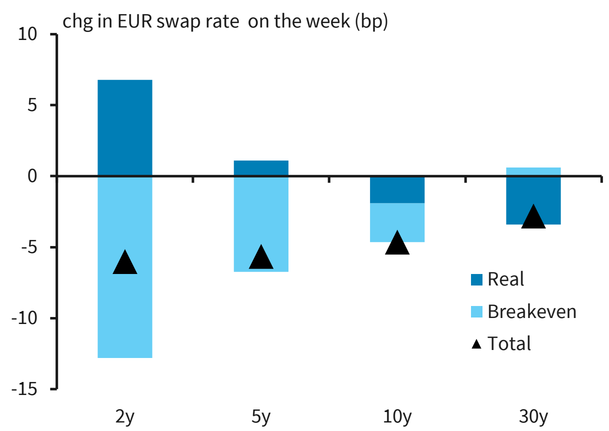
Close but no cigar. Oil prices and bond yields have been trending lower since mid-May, on constructive headlines about a potential US-Iran peace deal, though at the time of writing, a decisive breakthrough remains elusive. The move lower in oil will clearly be a welcome development for central banks; at the same time, it remains far too early to relax on inflation risks, with oil prices still >50% higher YTD. As we head into June central bank policy meetings, the evolution of the conflict and energy prices will likely be key in terms of shaping the messaging at these meetings.

In this regard, recent ECB commentary has been interesting. Executive Board member Schnabel's recent Reuters interview laid out her concerns with respect to inflationary risks: "*According to the European Commission survey, there is a sharp increase across sectors in the share of firms planning to raise their selling prices over the coming three months, faster than in 2022... in our Consumer Expectations Survey, inflation expectations have also increased over the medium term and there has been a shift in the distribution of inflation expectations to the right*". In this context, Schnabel said: "*Given the size and the persistence of the current shock, looking through is no longer an option in my view... Even if the war ended today, a lot of damage has already been done to energy infrastructure and global supply chains. So, even then, I believe that a monetary policy reaction would be needed*". The next release of the Consumer Expectations Survey cited by Schnabel is scheduled for 1 June: the release one month earlier had shown a worrisome increase in three-year ahead median inflation expectations (from 2.5% to 3.0%, Figure 2), so the question for the Governing Council will be whether this jump persists or intensifies.

Other ECB speakers at the hawkish end of the spectrum have voiced similar sentiments to Schnabel, for instance Wunsch's recent comments that "*at some point we will have to react... We are in the beginning of an inflation problem*", and Kocher's comments that "*Everything points to prices rising somewhat more sharply than was expected back in March... It's also clear that this increases the pressure to act on interest rates*". As for the relatively more dovish GC members, there has been no concerted pushback against the market close to fully pricing in a 25bp June hike. At the same time, more dovish speakers have emphasised the need to bear in mind downside growth risks (which were underlined by the weak euro area PMIs last week). In that respect, Vice President de Guindos argued this week that "*We have to take into consideration the* *impact on growth*". GC member Stournaras noted that "*the likeliest outcome is an interest rate hike in June*", but also emphasised that "*the response [to the shock] should be balanced... a careful adjustment of monetary policy toward a more restrictive direction is capable of limiting the intensity of secondary effects, without disproportionately affecting economic activity*".

Overall, the path of least resistance appears to be an 'insurance hike' in June as the ECB seeks to maintain its inflation-fighting credibility, with a fully data-dependent approach taken at subsequent meetings. Our economics team's base case remains two 25bp hikes, in June and September; from a market standpoint, we continue to think that pricing could shift to a range of one to two hikes in a sustained de-escalation scenario, versus risks of a more protracted hiking cycle in the tail scenario of major re-escalation.

FIGURE 1. EUR yields have pushed lower on the week



Source: Bloomberg, Barclays Research

FIGURE 2. The last CES print had showed a worrying jump in 3y-ahead median inflation expectations

Source: Bloomberg, ECB, Barclays Research

As mentioned above, a key focal point next week will be the Consumer Expectations Survey release scheduled for Monday, followed by May flash inflation for the euro area on Tuesday. With respect to US data, Friday's NFP will be the key release, preceded by ISM manufacturing on Monday, JOLTS on Tuesday, and ISM services on Wednesday. In terms of EGB auctions, Germany will hold a Schatz auction on Tuesday, followed by French and Spanish auctions on Thursday (see below for detailed discussion on the EGB supply outlook). In terms of sovereign rating reviews, S&P will review France this Friday, 29 May (A+, stable outlook), while Fitch will review Austria next Friday, 5 June (AA, stable outlook).

ECB rate hikes and euro area banks' IRRBB

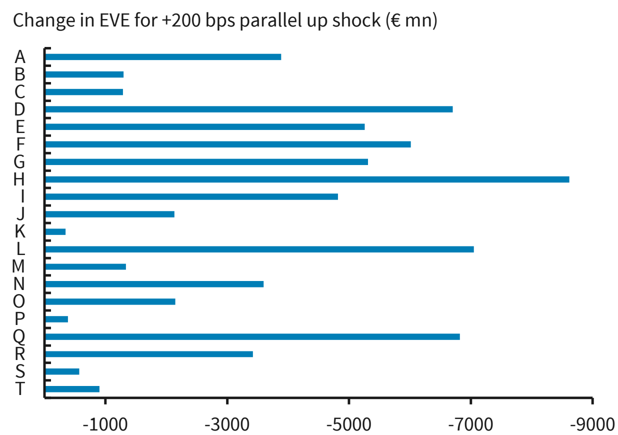
In a recent publication (Stuck in the Gulf), we discussed whether the EUR swap market should be wary of a 2022-style mortgage hedging wave, given the impending turn in the ECB's policy rate trajectory. The motivation for this analysis was to draw parallels to the ECB's previous rate cycle, when the need to hedge interest rate risk in euro area banking books (IRRBB) had left a significant and lasting impact on the 10-15y part of the EUR swap curve.

To recap, a bank's business model of accepting short-term deposits and offering long-term loans exposes it to interest rate risk. Metrics like duration gap, which measures the difference between the duration of assets and liabilities on a bank's balance sheet, capture this interest rate risk. Furthermore, since banks are in the business of maturity transformation, they generally run a positive duration gap (ie, longer-maturity assets relative to shorter-maturity deposits). In this set-up, under an increasing interest rate scenario (parallel shifts of the yield curve), assets would lose more value than liabilities, thus reducing the bank's economic value of equity (EVE). This is the opposite challenge to that faced by pension funds for example, as they run a negative duration gap, meaning shorter-maturity assets versus longer-maturity liabilities. So, an increasing interest rate environment is favourable for Dutch pension funds. Banks and pension funds can actively manage these duration gaps and mitigate risks through interest rate derivatives.

Is there a way to quantify this risk? The ECB has not written about the topic of IRRBB in euro area banks since November 2023[1] and hence it is challenging to get a holistic perspective of where metrics like duration gaps, maturity gaps and the share of hedged versus unhedged risk lie.

However, individual bank Pillar 3 disclosures offer some useful insight. In their respective Pillar 3 disclosures, the European Banking Authority (EBA) asks banks to capture the change in EVE[2] under six supervisory shock scenarios: parallel up, parallel down, steepener, flattener, short rates up, and short rates down. This provides a useful guide to understand the sensitivity of EVE to rate shocks across institutions (as a share of Tier 1 or CET1) as well as over time[3].

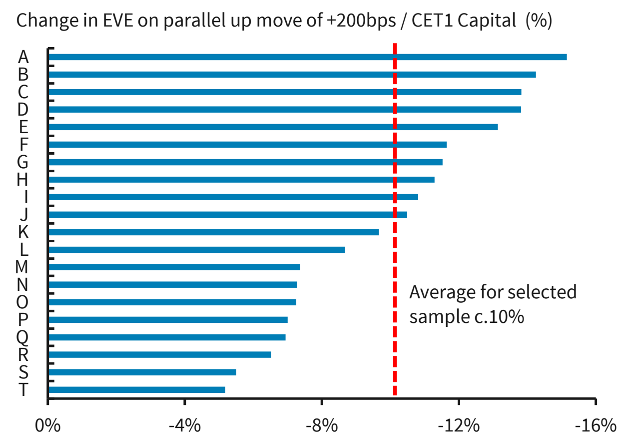
FIGURE 3. EVE sensitivity to parallel up shock across largest euro area banks



Note: As of 31-Dec-2025; The 20 banks, anonymously listed here, roughly amount to 50% of euro area banking system assets

Source: European Banking Authority, Bank Pillar 3 disclosures, Barclays Research

FIGURE 4. EVE losses are material when compared to capital, averaging c.10% of CET1



Note: EVE is as of 31-Dec-25, while CET1 is as of 30-Jun-25, due to differences in disclosure timelines between Pillar 3 and transparency reports. The 20 banks, anonymously listed here, roughly amount to 50% of euro area banking system assets

Source: European Banking Authority, Bank Pillar 3 disclosures, Barclays Research

In Figure 3 we show the interest rate risk exposure across a sample of large euro area banks (covering c.50% of banking system assets) under a +200bp parallel up shock scenario as of 31 December 2025. In absolute terms, the change in EVE varies significantly across institutions, reflecting differences in balance sheet sizes and the maturity composition of assets and liabilities. Scaling these changes by CET1 capital provides a more comparable metric across

[1] See "Interest rate risk exposures and hedging of euro area banks' banking books", *Financial Stability Review*, ECB, May 2022, "Euro area interest rate swaps market and risk-sharing across sectors", *Financial Stability Review*, ECB, November 2022 and "Assessing risks from euro area banks' maturity transformation", Financial Stability Review, November 2023.

[2] Changes in banks' economic value of equity do not always translate into accounting losses, but they do shed light on banks' resilience to changes in interest rates over the long run

[3] The EBA has updated its data dashboard and now also captures some Pillar 3 data. However, the time-series available on the portal is only for the last few quarters. To look at EVE's sensitivity to rate shocks, one would need to extract individual Pillar 3 reports. However, some care is needed here as the supervisory shock scenarios have been updated. Back in 2021, EBA required banks to model EVE sensitivity to +/-100bp shock but the more recent sensitivities are to a +/-200bp shock.

banks (Figure 4). The EVE decline for the sample ranges from 5% to 15% of CET1 capital, and the average for the sample is c.10% of CET1.

These numbers underscore that the positive duration gap and hence IRRBB are not insignificant and should potentially spur banks into action to increase their hedges should the probability of a large interest rate shock increase. However, for now, and given the nature of the shock facing the euro area (exogenous supply shock), the probability of a large upward interest rate shock on account of a protracted rate hike cycle remains a tail risk.

Bunds: A decomposition check

Prior to the onset of the Gulf conflict, our base case was for Bunds to trade in a 2.65-2.90% range. For a break of the 3% level, we had argued that a shift in the ECB's policy path towards rate hikes was a necessary condition, and the war provided that narrative shift.

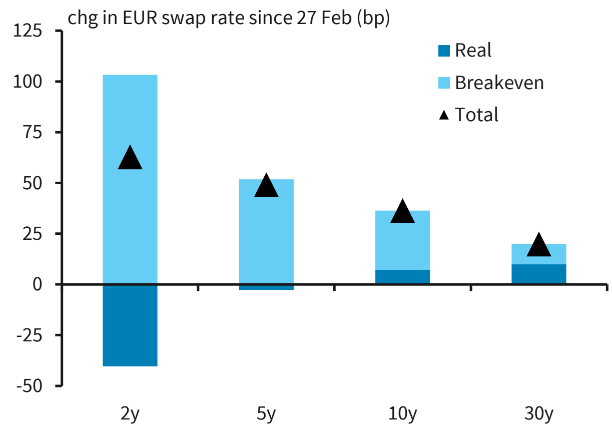
Here and now, EUR duration should continue to be driven by the conflict through its impact on energy prices and, by extension, on growth, inflation and the ECB's policy path. On a credible de-escalation, we could see Bunds settling back into its previous range. However, on a further escalation that calls for a protracted rate hike cycle (more than two hikes), Bunds would likely trade comfortably above 3%, with the probable range being 3.0-3.5%. Here and now, this right tail looks less likely, but it would ultimately be a function of the degree and quantum of inflation persistence versus growth weakness the ECB has to balance.

Beyond these domestic factors, exogenous factors also hold sway on Bunds. In a recent publication, our US colleagues warned against fading the recent cheapening in USTs. Should UST yields break higher, Bunds would get dragged along, but should outperform USTs, as Europe faces a negative terms of trade shock. Put differently, any bear-steepening or term-premium rebuild in Europe is only possible on account of exogenous factors, in our view. This would represent an imported tightening of financing conditions, aggravating the ECB's challenge.

Breaking down 10y EUR

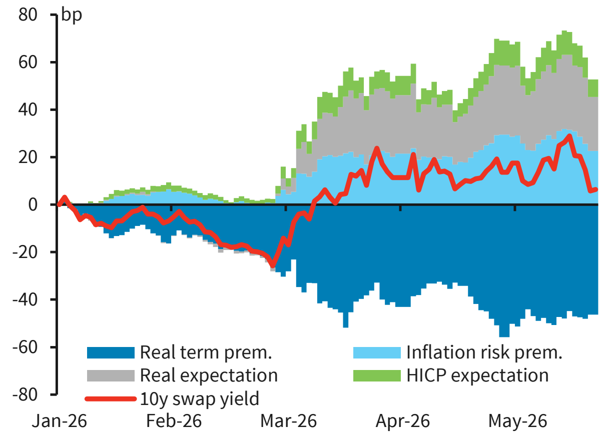
In Expectations and risk premiums, we had discussed a statistical approach to break down changes in 10y EUR swaps beyond just rate expectations and term premium into their real and inflation components. Figure 6 presents this decomposition from the start of the year with cumulative shifts in real and inflation expectations and term premium. What is evident here is that before the war, the rally in 10y EUR swaps was captured by the decline in real term premium, but other components were little changed. However, with the onset of the war, real expectations (policy tightening), inflation expectation and risk premium all increased and offset the further decline in real term premium.

FIGURE 5. Changes in EUR swap term structure since the start of the war, broken down into real and inflation changes



Source: Bloomberg, Barclays Research

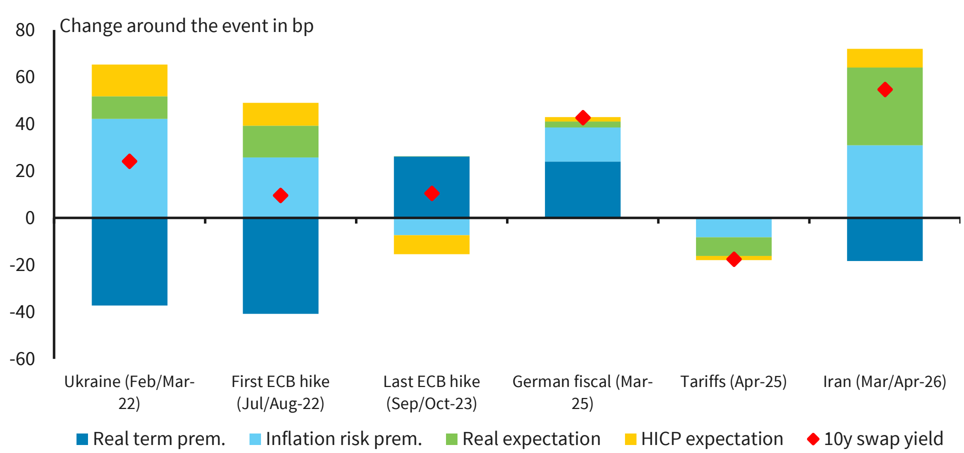
FIGURE 6. Decomposition of 10y EUR into real and inflation expectation and risk-premium components



See Expectations and risk premiums for methodology
Source: Bloomberg, Barclays Research

Figure 7 compares the changes in 10y EUR swap in the ongoing Gulf conflict with some previous episodes to compare how the various components have evolved. Some clear takeaways here would be: (i) There are clear parallels between the market reaction to the Ukraine war and the current conflict. Both exogenous negative supply shocks saw inflation risk premium increasing though the degree of shifts in real expectations are different (ii) the sell-off following the announcement of German fiscal in March 2025 was driven entirely by risk premium—both real and inflation—with little change in the expectations component, suggesting that the market adjusted the distribution without meaningfully changing its modal expectations.

FIGURE 7. Increase in inflation risk premium and real expectations has driven the recent increase in 10y EUR - similar to the initial days of the 2022 energy shock



See Expectations and risk premiums for methodology
Source: Bloomberg, Barclays Research

EGB supply: June cashflows decoded

This section is an excerpt from our June European sovereign supply monthly.

- As we reach the end of May, euro area sovereigns have already issued c.€760bn, equating to c.51% of our projected total for 2026 (c.3pp behind this point last year). In June, we project gross EGB supply of c.€132bn, c.€12bn lower m/m.

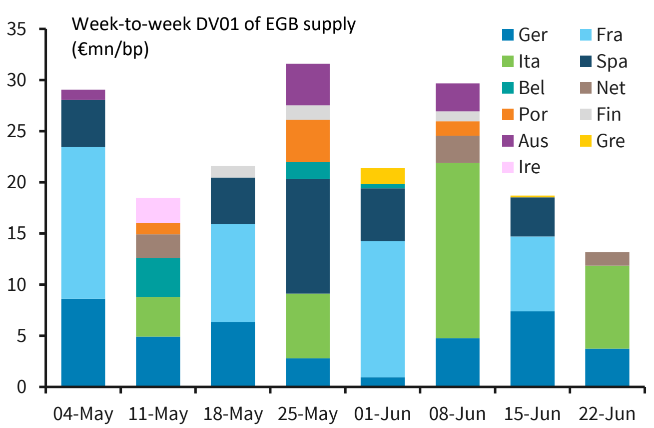
- In terms of syndications, Germany, Belgium, Ireland, Spain, Austria and Portugal placed syndications in May; on the other hand, Greece has not mandated a syndication this month, at the time of writing. We therefore pencil in a 5-7y deal from Greece in w/c 1 June (c.€2.5bn). We also pencil in a green BTP syndication for w/c 8 June (c.€7bn, we also do not rule out the possibility of a long-end syndicated tap). All in all, syndicated supply should total c.€9.5bn in June on our estimates, significantly below May's c.€37bn total. With respect to retail issuance, Italy will place a new BTP Italia in w/c 15 June.

- We expect the DV01 of gross EGB supply to average c.€21mn/bp over the next four weeks, significantly below the c.€25mn/bp total over the preceding four weeks. YTD, we estimate a weekly average DV01 of gross issuance of c.€26mn/bp.

- We project EGB redemptions totalling c.€52bn in June, decreasing sharply from c.€90bn in May. As a result, net EGB supply should accelerate from c.€54bn in May to c.€80bn in June.

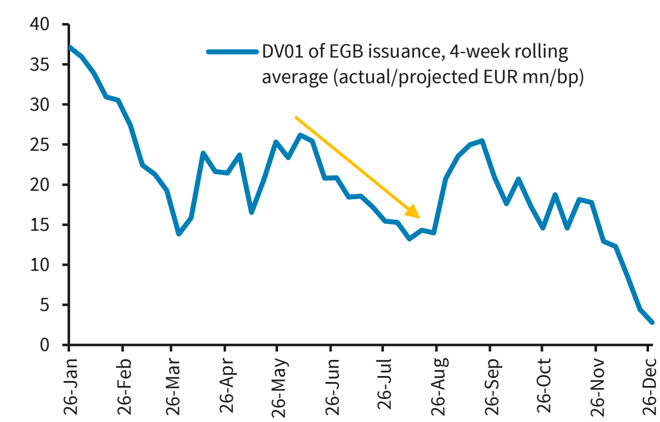
- Germany will pay redemptions totalling c.€19bn in June, with Italy paying a similar volume. France and Spain will pay no meaningful redemptions. As such, German, French, Italian and Spanish net issuance should total c.€7bn, c.€29bn, c.€30bn and c.€12bn, respectively. Regarding smaller issuers, Belgium will pay c.€14bn of redemptions, resulting in deeply negative Belgian net supply in June (c.-€11bn).

FIGURE 8. **Weekly DV01 of EGB issuance could stay elevated in the first half of June, before declining significantly in the second half**



Source: National Treasuries, Barclays Research

FIGURE 9. **The DV01 of issuance should steadily decelerate as summer progresses**



Source: National Treasuries, Barclays Research

Summary of our trade recommendations

We make no change to our portfolio of recommendations this week.

FIGURE 10. **Summary of our trade recommendations**

Open trades	Date entered	Entry	Target	Stop	Current	P&L	Publication in which recommended
Long 30y DSL vs Bunds	20-May-26	2.0	-10.0	10.0	2	0	*DSL-Bund: closing the gap*
Long belly of EUR2s5s10s fly	12-Mar-26	-10.5	-30.0	0.0	-15	5	*A crude awakening*
Recently closed trades	**Date entered/closed**	**Entry**	**Target**	**Stop**	**Close**	**P&L**	**Publication in which recommended**
Long Sep 2026 dated BoE vs short ECB	23-Apr-26/14-May-26	179	130	195	166	13	*On tenterhooks*

The history of Barclays Research investment recommendations can be found here. Market levels for open trades captured at 3.30pm GMT on 28 May 2026.
Source: Bloomberg, Barclays Research

Analyst(s) Certification(s):
We, Max Kitson, Rohan Khanna, Alessandro Di Spirito and Pratham Hukmat Kingar, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

Important Disclosures:
Barclays Research is produced by the Investment Bank of Barclays Bank PLC and its affiliates (collectively and each individually, "Barclays").

All authors contributing to this research report are Research Analysts unless otherwise indicated. The publication date at the top of the report reflects the local time where the report was produced and may differ from the release date provided in GMT.

Availability of Disclosures:
For current important disclosures regarding any issuers which are the subject of this research report please refer to https://publicresearch.barclays.com or alternatively send a written request to: Barclays Research Compliance, 745 Seventh Avenue, 13th Floor, New York, NY 10019 or call +1-212-526-1072.

Barclays Capital Inc. and/or one of its affiliates does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that Barclays may have a conflict of interest that could affect the objectivity of this report. Barclays Capital Inc. and/or one of its affiliates regularly trades, generally deals as principal and generally provides liquidity (as market maker or otherwise) in the debt securities that are the subject of this research report (and related derivatives thereof). Barclays trading desks may have either a long and / or short position in such securities, other financial instruments and / or derivatives, which may pose a conflict with the interests of investing customers. Where permitted and subject to appropriate information barrier restrictions, Barclays fixed income research analysts regularly interact with its trading desk personnel regarding current market conditions and prices. Barclays fixed income research analysts receive compensation based on various factors including, but not limited to, the quality of their work, the overall performance of the firm (including the profitability of the Investment Banking Department), the profitability and revenues of the Markets business and the potential interest of the firm's investing clients in research with respect to the asset class covered by the analyst. To the extent that any historical pricing information was obtained from Barclays trading desks, the firm makes no representation that it is accurate or complete. All levels, prices and spreads are historical and do not necessarily represent current market levels, prices or spreads, some or all of which may have changed since the publication of this document. Barclays Research Department produces various types of research including, but not limited to, fundamental analysis, equity-linked analysis, quantitative analysis, and trade ideas. Recommendations and trade ideas contained in one type of Barclays Research may differ from those contained in other types of Barclays Research, whether as a result of differing time horizons, methodologies, or otherwise.

In order to access Barclays Statement regarding Research Dissemination Policies and Procedures, please refer to https://publicresearch.barclays.com/S/RD.htm. In order to access Barclays Research Conflict Management Policy Statement, please refer to: https://publicresearch.barclays.com/S/CM.htm.

Disclosure(s) regarding Information Sources
Bloomberg® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively “Bloomberg”) and the Bloomberg Indices are trademarks of Bloomberg. Bloomberg or Bloomberg’s licensors own all proprietary rights in the Bloomberg Indices. Bloomberg does not approve or endorse this material, or guarantee the accuracy or completeness of any information herein, or make any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, Bloomberg shall have no liability or responsibility for injury or damages arising in connection therewith.

All pricing information is indicative only. Unless otherwise indicated, prices are sourced from LSEG Data & Analytics and reflect the closing price in the relevant trading market, which may not be the last available price at the time of publication.

Types of investment recommendations produced by Barclays FICC Research:
In addition to any ratings assigned under Barclays’ formal rating systems, this publication may contain investment recommendations in the form of trade ideas, thematic screens, scorecards or portfolio recommendations that have been produced by analysts in FICC Research. Any such investment recommendations produced by non-Credit Research teams shall remain open until they are subsequently amended, rebalanced or closed in a future research report. Any such investment recommendations produced by the Credit Research teams are valid at current market conditions and may not be otherwise relied upon.

Disclosure of other investment recommendations produced by Barclays FICC Research:
Barclays FICC Research may have published other investment recommendations in respect of the same securities/instruments recommended in this research report during the preceding 12 months. To view all investment recommendations published by Barclays FICC Research in the preceding 12 months please refer to https://live.barcap.com/go/research/Recommendations.

Barclays does not assign ratings to asset backed securities. Barclays Capital Inc. and/or one of its affiliates may have acted as an underwriter for public offerings of any asset backed securities that are otherwise recommended in trade ideas contained within its securitised research reports.

Legal entities involved in producing Barclays Research:
Barclays Bank PLC (Barclays, UK)

Barclays Capital Inc. (BCI, US)

Barclays Bank Ireland PLC, Frankfurt Branch (BBI, Frankfurt)

Barclays Bank Ireland PLC, Paris Branch (BBI, Paris)

Barclays Bank Ireland PLC, Milan Branch (BBI, Milan)

Barclays Securities Japan Limited (BSJL, Japan)

Barclays Bank PLC, Hong Kong Branch (Barclays Bank, Hong Kong)

Barclays Bank Mexico, S.A. (BBMX, Mexico)

Barclays Capital Casa de Bolsa, S.A. de C.V. (BCCB, Mexico)

Barclays Securities (India) Private Limited (BSIPL, India)

Barclays Bank PLC, Singapore Branch (Barclays Bank, Singapore)

Barclays Bank PLC, DIFC Branch (Barclays Bank, DIFC)

Middle East: Nothing herein should be considered investment advice as defined in the Israeli Regulation of Investment Advisory, Investment Marketing and Portfolio Management Law, 1995 ("Advisory Law"). This document is being made to eligible clients (as defined under the Advisory Law) only. Barclays Israeli branch previously held an investment marketing license with the Israel Securities Authority but it cancelled such license on 30/11/2014 as it solely provides its services to eligible clients pursuant to available exemptions under the Advisory Law, therefore a license with the Israel Securities Authority is not required. Accordingly, Barclays does not maintain an insurance coverage pursuant to the Advisory Law.

This material is distributed in the United Arab Emirates (including the Dubai International Financial Centre) and Qatar by Barclays Bank PLC. Barclays Bank PLC in the Dubai International Financial Centre (Registered No. 0060) is regulated by the Dubai Financial Services Authority (DFSA). Principal place of business in the Dubai International Financial Centre: The Gate Village, Building 4, Level 4, PO Box 506504, Dubai, United Arab Emirates. Barclays Bank PLC-DIFC Branch, may only undertake the financial services activities that fall within the scope of its existing DFSA licence. Related financial products or services are only available to Professional Clients, as defined by the Dubai Financial Services Authority. Barclays Bank PLC in the UAE is regulated by the Central Bank of the UAE and is licensed to conduct business activities as a branch of a commercial bank incorporated outside the UAE in Dubai (Licence No.: 13/1844/2008, Registered Office: Building No. 6, Burj Dubai Business Hub, Sheikh Zayed Road, Dubai City) and Abu Dhabi (Licence No.: 13/952/2008, Registered Office: Al Jazira Towers, Hamdan Street, PO Box 2734, Abu Dhabi). This material does not constitute or form part of any offer to issue or sell, or any solicitation of any offer to subscribe for or purchase, any securities or investment products in the UAE (including the Dubai International Financial Centre) and accordingly should not be construed as such. Furthermore, this information is being made available on the basis that the recipient acknowledges and understands that the entities and securities to which it may relate have not been approved, licensed by or registered with the UAE Central Bank, the Dubai Financial Services Authority or any other relevant licensing authority or governmental agency in the UAE. The content of this report has not been approved by or filed with the UAE Central Bank or Dubai Financial Services Authority. Barclays Bank PLC in the Qatar Financial Centre (Registered No. 00018) is authorised by the Qatar Financial Centre Regulatory Authority (QFCRA). Barclays Bank PLC-QFC Branch may only undertake the regulated activities that fall within the scope of its existing QFCRA licence. Principal place of business in Qatar: Qatar Financial Centre, Office 1002, 10th Floor, QFC Tower, Diplomatic Area, West Bay, PO Box 15891, Doha, Qatar. Related financial products or services are only available to Business Customers as defined by the Qatar Financial Centre Regulatory Authority.

Russia: This material is not intended for investors who are not Qualified Investors according to the laws of the Russian Federation as it might contain information about or description of the features of financial instruments not admitted for public offering and/or circulation in the Russian Federation and thus not eligible for non-Qualified Investors. If you are not a Qualified Investor according to the laws of the Russian Federation, please dispose of any copy of this material in your possession.

Sustainable Investing Related Research: There is currently no globally accepted framework or definition (legal, regulatory or otherwise) of, nor market consensus as to what constitutes a 'sustainable', 'ESG', 'green', 'climate-friendly' or an equivalent company, investment, strategy or consideration or what precise attributes are required to be eligible to be categorised by such terms. This means there are different ways to evaluate a company or an investment and so different values may be placed on certain sustainability credentials as well as adverse ESG-related impacts of companies and ESG controversies. The evolving nature of sustainable investing considerations, models and methodologies means it can be challenging to definitively and universally classify a company or investment under a sustainable investing label and there may be areas where such companies and investments could improve or where adverse ESG-related impacts or ESG controversies exist. The evolving nature of sustainable finance related regulations and the development of jurisdiction-specific regulatory criteria also means that there is likely to be a degree of divergence as to the interpretation of such terms in the market. We expect industry guidance, market practice, and regulations in this field to continue to evolve.

Any information, data, image, or other content including from a third party source contained, referred to herein or used for whatsoever purpose by Barclays or a third party ("Information"), in relation to any actual or potential 'ESG', 'sustainable' or equivalent objective, issue, factor or consideration is not intended to be relied upon for ESG or sustainability classification, regulatory regime or industry initiative purposes ("ESG Regimes"), unless otherwise stated. Nothing in these materials, including any images included therein, is intended to convey, suggest or indicate that Barclays considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG or sustainability classification, label or similar standards that may exist under ESG Regimes. Barclays has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

IRS Circular 230 Prepared Materials Disclaimer: Barclays does not provide tax advice and nothing contained herein should be construed to be tax advice. Please be advised that any discussion of U.S. tax matters contained herein (including any attachments) (i) is not intended or written to be used, and cannot be used, by you for the purpose of avoiding U.S. tax-related penalties; and (ii) was written to support the promotion or marketing of the transactions or other matters addressed herein. Accordingly, you should seek advice based on your particular circumstances from an independent tax advisor.

BRCF2242